



“RIL’s path to ₹20 lakh crore net worth hinges on three pillars—monetisation of Jio and Retail, scaling up new energy, and O2C margin recovery”

HARSHRAJ VIJAY AGGARWAL

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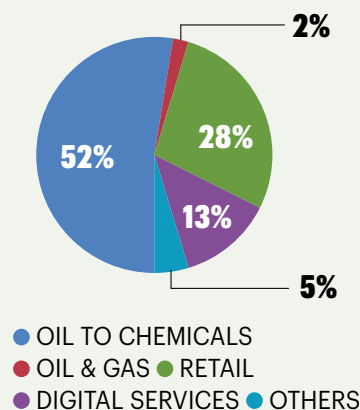
“RIL’s diversification and renewed focus on consumer and digital businesses have helped offset challenges and ensured growth”

PALKA ARORA CHOPRA

DIRECTOR, MASTER CAPITAL SERVICES

CONSOLIDATED FY25 REVENUE MIX

- The oil-to-chemicals business contributes 52% to revenue
- Retail and digital services account for more than 40%



SOURCE COMPANY RESULTS, BSE

“Reliance’s robust self-funding ability provides it the financial flexibility to pursue its strategic priorities and provide stiff competition. Ultimately, as RIL’s high growth pillars begin to generate robust Ebitda and free cash flow, they will help it achieve net zero debt,” says Chopra.

Aggarwal concurs. He says RIL is well-positioned to maintain its debt levels by improving cash flows in FY26 and FY27.

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In the last 20 years, RIL’s consolidated net profit has grown at a compound annual growth rate (CAGR) of nearly 12% while its revenue has risen at a CAGR of 15%. Its market capitalisation has jumped to more than ₹19 lakh crore from around ₹75,000 crore two decades ago.

The bluest of the blue chip is

expected to maintain robust profitability over the next five to 10 years, driven by its diverse portfolio, including oil refining, retail, and digital services (Jio).

RIL’s revenue should be about ₹25 lakh crore in the next 10 years, according to G. Chokkalingam, founder and head of research at investment advisory firm Equinom-ics Research. He says the market valuation of RIL may rise to over ₹40 lakh crore over the next 10 years. And like most others, he believes the growth is unlikely to be dominated by a single sector.

Meanwhile, there is a possibility of several companies from the group being listed on the stock market. Jio Financial Services made its stock market debut in August 2023. “Jio Digital could be the next one and, ultimately, retail, FMCG, new energy and others may get listed over the next 10 years.

Thereby, the combined market cap of the group could even go up substantially beyond ₹40 lakh crore,” says Chokkalingam. RIL was the first Indian company to achieve the milestone of ₹10 lakh crore market cap. The analyst believes a possible listing of digital and retail businesses could give a boost to its net worth.

Aggarwal of YES Securities says RIL’s path to ₹20 lakh crore net worth hinges on three pillars—monetisation of Jio and Retail, scaling up new energy and O2C margin recovery.

While RIL’s push for reinvention to avoid dependency on a single sector is showing results, what would be interesting to watch is how the giant continues on this path, traverses challenges and achieves a debt-free status. **BT**

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